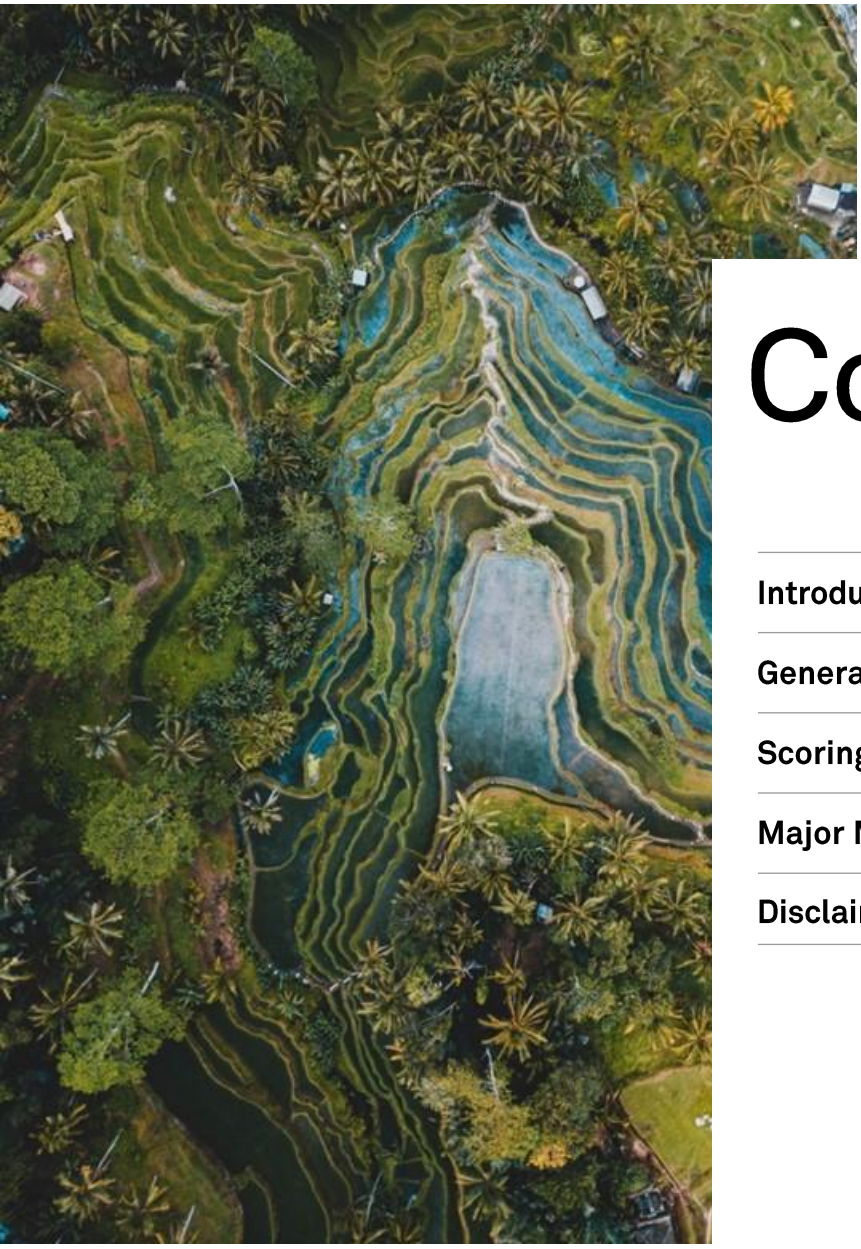
Sustainable1

Annual Scoring & Methodology Review

Corporate Sustainability Assessment 2025



S&P Global



Sustainable1

Contents

Introduction	03
General Guidance Updates	08
Scoring Methodology Updates	11
Major Methodology Updates	14
Disclaimer	33

01
Introduction

Purpose of this document

We want to thank all participating companies and other stakeholders for contributing to the perpetual evolution of the CSA. The invaluable feedback and expert insights that we receive are essential to maintain a methodology that drives new thoughts about sustainability concepts and strategies to deliver real impact.

This document provides an overview of:

- Our approach and our procedures implemented to optimize our assessment methodology.
- A selection of major changes to CSA 2025.
- Explanations of the rationale behind the changes made.
- Observations on how companies performed on the new or updated topics.

As in previous years, you have access to a series of webcasts on the newly introduced questions. Our sustainability experts will discuss the findings and will answer questions from companies. Register or watch a replay of the 2025 CSA Webcast including the 2025 CSA Methodology Updates webcast.

More information about the CSA methodology can be found on our website.

Methodology Review Approach

Annually, following the announcement of the CSA results of the previous year's assessment, the CSA is reviewed with two objectives in mind:

- **Capture emerging trends**: Adjustments are made to the questions and their relative weights to capture new sustainability trends and issues that are expected to have a significant impact on companies' competitive landscape. The annual update ensures that we focus on the relevant sustainability issues that present a significant impact on society or the environment and a significant impact on a company's value drivers, competitive position, and long-term shareholder value creation. As such, double materiality is considered as an integral part of the CSA methodology development process.
- **Remove questions that are no longer material**: We aim to reduce the overall number of questions in the questionnaire. We remove questions that are no longer of material significance to companies, or address topics that have become common practice and thus no longer distinguish leading companies. This has allowed us to introduce new general and industry-specific criteria. Thanks to these deletions and additions, we guarantee that our assessment raises the corporate sustainability bar and challenges companies in their thinking about long-term risks and opportunities.

Addressing the Reporting Burden

In dialogue with companies, we consistently hear about reporting fatigue – an issue that we take seriously and have been addressing for several years. Our continued efforts to reduce the burden on companies responding to the CSA incorporates various measures:

- We seek to avoid increasing the length of the questionnaire. Each year, we ensure that for newly added questions, we also delete questions that are no longer considered material and consolidate where appropriate (see Methodology Review Approach above).
- We focus on updating the CSA methodology to integrate existing data from other S&P methodologies.
- We focus on aligning our methodology with international reporting standards, including the GRI, CSRD, ISSB and ESRS to ensure that companies do not need to report the same data in different ways for different audiences.
- We have clarified our approach to public supporting evidence and broken down our expectations around references and comments. Only documents that are truly relevant to the questions being asked are required.

In this spirit, this year we have deleted or simplified several questions. For example, under the Labor Practices criterion we have deleted the questions on 'Living Wage Commitment', and 'Living Wage Methodology'. the relevant metrics of the question integrated into the new questions 'Labor Practices Commitment' and 'Labor Practices Programs'.

In another example under the Risk & Crisis Management criterion, 'Export Control Regime Compliance Systems' and 'Exports Controls Regime Compliance Metrics' have been deleted. The information collected for these questions did not establish reliable or significant differentiation between companies.

Similarly, under the Climate Strategy criterion, 'Low-Carbon Products' has been deleted. This year CSA criteria were updated and renamed to align them with the subjects addressed in S&P Global industry materiality matrices. The Resource and Efficiency & Circularity was replaced with criteria focused on aspects such as Energy and Packaging. Some of the questions within the criterion were also moved to Product Stewardship and Sustainable Raw Materials. The Emissions criterion was deleted and some of the questions moved to the new criterion Waste & Pollutants and the existing Climate Strategy criterion.

Under the Contribution to Societal Healthcare criterion, the 'HTA Support of Value Proposition' question was deleted due to the lack of standardized metrics and public reporting.

In the Community Relations criterion, the 'Social Integration in New Buildings & Reconstruction' question was deleted due to redundancy. Under the Labor Practices criterion, the existing 'Living Wage' questions were removed, simplifying reporting for a select group of industries. In the Customer Relations criterion, the 'Direct-to-Consumer Marketing' question was removed, and several other questions were deleted due to insufficient public data availability. These changes aimed to reduce reporting burden and focus on relevant ESG aspects.

Methodology Updates Summary

In CSA 2025 we continued to align our methodology not only with our own research on the most material topics, but also with internationally used sustainability reporting frameworks such as GRI, SASB, TNFD, TCFD and CSRD. This helps to streamline the questionnaire, improve clarity and data consistency, and address the growing reporting burden faced by companies. We also introduced new questions to further challenge companies on emerging risks and opportunities. As shown in Table 1, the methodology across fourteen major methodology criteria were addressed. This led to 13 new and 28 updated questions overall.

In the **Governance & Economic dimension**, major updates centred around the themes Product Quality & Recall Management, Information Security/ Cybersecurity & System Availability, Business Ethics & Corporate Governance.

- The Product Quality & Recall Management criterion has updates to the existing question 'Product Recalls' and includes new data point related to total units or quantity recalled and the question is applicable to one additional industry. A new question 'Product Quality Programs' was included to reflect readiness of programs in place to effectively manage the quality related risk and opportunities.

- The existing criterion Information Security/ Cybersecurity & System Availability was renamed Information Security. Existing questions 'IT Security/Cybersecurity measures', 'IT Security/ Cybersecurity Governance' and 'IT Security/ Cybersecurity Process and Infrastructure' were renamed to 'Information Security Policy', 'Information Security Governance' and 'Information Security Management Program' respectively and the questions were simplified.

- In Business Ethics two questions were updated and renamed. 'Corruption & Bribery' was renamed as 'Anti-Bribery & Anti-Corruption Policy' and Codes of Conduct: System/Procedures renamed as 'Whistleblowing Mechanism'. The updates are made in the data points to align with international standards, e.g. OECD, UNCAC, ICC, ISO 37002, etc.

- In the Corporate Governance section, a new question titled 'ESG Governance Oversight' has been introduced to ensure alignment with the latest standards and practices. This addition aims to enhance the evaluation of a company's governance structure concerning its ESG responsibilities.

In the **Environmental dimension**, major updates centred around the three themes Energy, Waste and Product Stewardship.

- Within the Energy criteria, the question regarding 'Renewable Energy Consumption' has been removed. This change reflects an ongoing effort to streamline the assessment process and focus on the most relevant and impactful metrics.

- The Waste criterion has been renamed to Waste & Pollutants to better encompass the broader range of environmental impacts associated with waste management and pollutant control. This update aims to provide a more comprehensive evaluation of a company's efforts in minimizing waste and managing pollutants effectively.

- Within the Product Stewardship criterion, two new questions have been introduced: 'End of Life Cycle E-waste' and 'End of Life Cycle E-waste Indicators.' These additions aim to enhance the assessment of a company's management of electronic waste and its commitment to sustainable practices throughout the product lifecycle.

- In addition to these changes, the industry applicability of the 'Sustainable Revenues' question has been expanded from 5 to 31 industries. Companies within these industries are now required to report on this question: AIR, ALU, BVG, CNO, COL, COS, CSV, ELC, FDR, FOA, GAS, ICS, IMS, MNX, MUW, OGR, OGX, OIE, PIP, PRO, PUB, REX, RTS, SOF, STL, TCD, TLS, TOB, TRA, TRT, TSV.

In the **Social dimension** the updates are centered around six themes Contribution to Societal Healthcare, Community Relations, Human Capital Development, Labor Practices, Customer Relations and Health & Nutrition.

- Under the Contribution to Societal Healthcare criterion, several updates were made: The 'Accessibility & Transparency of Outcome Data' question was renamed to 'Accessibility & Transparency of Outcome Research', with a refreshed list of research data items for public reporting and removal of target audience selection boxes. The 'Fair Pricing' question was updated to include two measurement options, aligned with SASB metrics, allowing for easier reporting and granting additional credit for public reporting. The 'HTA Support of Value Proposition' question was deleted due to the lack of standardized metrics and public reporting.

- The Community Relations criterion was updated as follows: The 'Social Integration in New Buildings & Reconstruction' question was deleted due to redundancy. The 'Social Integration Initiatives' question was renamed to 'Social Integration Programs' and expanded to include elements like accessibility, affordability, crime levels, and well-being. A new question, 'Affordability & Access', was added to assess efforts in providing affordable access to water and energy for vulnerable communities, linked to the deletion of the 'Market Opportunities' criterion, shifting focus to social responsibilities and access issues.

- The question 'Employee Development Programs' under the Human Capital Management criterion was revised to align with standards and frameworks such as CSRD, ISO 30422, and GRI, allowing for a clearer understanding of the training and development strategies used by different companies with the simplified format. The updated question aimed to provide a broader perspective on the company's overall approach to employee development.

- Under Labor Practices criterion, the existing 'Living Wage' questions were removed from the CSA, meaning that details related to 'Living Wage Commitment' and 'Living Wage Methodology' were no longer requested for a select group of eleven industries. Instead, the topic was addressed at the commitment and program level within the new 'Labor Practices Policy' and 'Labor Practices Programs' questions, which applies to all industries.

- Under Customer Relations criterion, the 'Ethical Marketing Commitment' question was updated to encompass a broader range of topics in the healthcare sector, focusing on marketing to healthcare providers, patient groups, and directly to consumers. The 'Ethical Marketing - Complaints Tracking' question was renamed to 'Ethical Marketing Performance', with metrics updated to align with GRI and SASB standards. The 'Direct-to-Consumer Marketing' question was removed, with its topic integrated into the commitment question due to a lack of standardized metrics. Additionally, questions on 'Sales Effectiveness Targets', 'Sales Channels Variety & Innovation', 'Quality Management & Audits of Distribution Networks', and 'Incentives for Distribution Networks' were deleted due to insufficient public data availability and their limited connection to sustainability reporting standards. The focus was on integrating credible ESG aspects and removing questions that did not provide insight into ESG performance or the societal and environmental impact of business operations.

- Under the Health & Nutrition criteria, several updates were made from 2024 to 2025: The 'Marketing Self-Regulation on Health & Nutrition' question was updated to 'Health & Nutrition Policy', assessing a company's general health and nutrition policy elements, along with responsible marketing and labelling practices. The 'Development of Health & Nutrition Strategy' question was updated to 'Health & Nutrition Programs', evaluating a company's initiatives to identify and manage health and nutrition-related risks effectively. Lastly, the 'Health & Nutrition Reformulation' question was updated to 'Health & Nutrition Revenues', examining the nutritional performance of a company's global product portfolio based on its public disclosure of nutrition profiling systems, such as Health Star or NutriScore, used to determine the nutritional value of each product.

The updated criteria are explained and outlined in more detail in the Major Methodology Updates section. They are also highlighted in red in Table 1.

Table 1: List of updated criteria of CSA 2025 by ESG dimension

Updated Criteria	Questions		Total
	New	Updated	
Governance & Economic Dimension			
Business Ethics	0	2	2
Product Quality & Recall Management	1	1	2
Information Security/ Cybersecurity & System Availability	0	3	3
Corporate Governance	1	1	2
Environmental Dimension			
Environmental Policy & Management	0	2	2
Product Stewardship	5	10	15
Climate Strategy	0	1	1
Social Dimension			
Customer Relations	0	2	2
Labor Practices	2	0	2
Health & Nutrition	3	0	3
Contribution to Societal Healthcare	0	2	2
Privacy Protection	0	2	2
Community Relations	1	1	2
Human Capital Management	0	1	1
Total	13	28	41

In the table above 41 questions are outlined as methodology update in 2025. However, 10 of these questions underwent significant material changes and are discussed further in the Major Methodology Updates section. These ten questions are 'Product Quality Programs', 'Information Security Governance', 'Information Security Policy', 'Information Security Management Programs', 'ESG Governance Oversight', 'End of Life Cycle E-waste', 'End of Life Cycle E-waste Indicators', 'Sustainable Revenues', 'Labor Practices Commitment', and 'Labor Practices Programs'. A detailed explanation of the rationale behind the changes made and observations on how companies performed on these topics can be viewed in Major Methodology Updates section of the document.

02

General Guidance Updates

Clarified Expectations of Public Disclosure

Supporting documents are required for all questions. Over the past years, we have increased the number of questions requiring publicly available evidence. This answers investors' general demand for greater transparency and more readily available information. For public disclosure requirements the CSA has specific questions with one of two designations:

- **This question requires publicly available information:**

  Questions marked with this designation require publicly available information. If you include information (that is not publicly available) which our analysts cannot access in the public domain, we will not assess your response, and no points will be awarded for this question: our assessment of this question is based upon your public disclosure of the information requested. Publicly available information should be directly accessible through navigation from your company's own website or a related website (e.g., subsidiary, affiliate).

- **Additional credit will be granted for relevant publicly available evidence:**

  For questions marked with this designation, we ask for publicly available information, if available. We encourage you to provide evidence that is publicly available for these questions and will grant additional credit for relevant publicly available evidence provided. However, these questions do not require publicly available supporting evidence, and you are welcome to share non-public documents as references.

Our aim is that questions in the latter category ("where publicly available evidence grants additional credit") gradually shift towards the first category, requiring then public evidence. We see the Corporate Sustainability Assessment as a useful tool to promote corporate disclosure on underreported or emerging sustainability topics – to the benefit of companies' shareholders, investors, and other stakeholders. Over the years, we have received positive feedback from companies reaffirming this role. Over time, we plan to continually increase the scope of corporate sustainability disclosure.

Data Quality

Sustainability data is increasingly being used by investors to measure the impact of their investments. To provide meaningful sustainability data and enable better-informed investment decisions, data needs to be precise and comparable.

Therefore, we adapt our data definitions as global reporting measurement and reporting standards merge or evolve. We would like to remind companies that the quantitative data provided must meet the definitions given in the question information texts. Any deviations from these established definitions must be clearly explained in the comment field.

It remains essential that companies each year:

- consult the information texts, and
- read the question texts carefully to review what has changed from one year to the next.

Please make sure that:

- data is reported in the specified units given in the question, and
- any conversions to these units are performed correctly.

Reporting and collecting high-quality sustainability data is the critical first step towards ensuring that ESG information becomes more widely accepted and used by the investment community. If you have any inquiries or doubts regarding data operationalization, please do not hesitate to contact our dedicated helpline: csa@spglobal.com

Question Information Fields & the Company Comment Field

We regularly include individual text fields within the question layout to allow companies to provide explanations or descriptions if we require these to assess the data provided.

The information written in these fields should:

- relate specifically to the data reported,
- be in line with the exact question asked, and
- not be used to provide additional comments describing related initiatives, etc.

Furthermore, for comments left in the field available at the bottom of each question, please follow a few guiding principles for the main company comment field:

- providing explanatory comments should be the exception rather than the rule.
- additional comments should primarily be used to explain changes in data, calculation methodologies, or why a question does not apply to your business model. If the data provided does not fit the format of the question asked, you can use the comment field to explain how the data may differ, and
- be brief and to the point. Please ensure that the information provided specifically relates to the question and reported data.

The company comment section does not directly contribute to the final score of any given question unless a company fails to provide the information requested in the question layout itself and yet manages to provide that information in the company comment (thus resulting in our analysts using this additional information to give the company credit). Finally, long comments do not equal better scores.

Supporting Evidence, Documents, and References

Please ensure that the attached documents and public references (weblinks) are necessary and relevant for the analyst to understand your response to each question.

Please be as specific as possible in terms of the page number and sections of the relevant documents.

For questions where we do not explicitly require evidence, you may attach documents in the document library, but we do not guarantee we will review them.

Non-English Documents

We recognize that many CSA participants are based in non-English speaking countries, and often their base of operations may also be concentrated in these countries. Nevertheless, the official language of the CSA is English. Our ESG Research team is currently supported by a translation team for publicly available company documents. This approach shall be kept in the future. However, for non-public documents provided to support your CSA answers, we continue to rely on clear translations and summaries of foreign-language texts to verify your answers and supporting evidence provided, as stated in our Language Policy.

Holding Companies

Holding companies may be presented with challenges unique to their business model and segmentation, and it may be the case that ESG data consolidation is recommended.

Irrespective of if ESG data consolidation takes place, holding companies should use their own information and references for Corporate Governance and Materiality, and any Group Policies also applicable to the holding's subsidiaries.

If the holding company's revenues stem almost entirely from a single subsidiary, data and references from the subsidiary can be used to answer the CSA, except for the questions outlined above. Throughout the questionnaire, coverage should be adjusted accordingly.

In the case that the holding company's revenue stems from several subsidiaries, there is no collective reporting and ESG data consolidation is not suitable, data and references from the most relevant subsidiary can be used to answer the CSA, except for the questions outlined above. Within the corresponding KPI questions the 'coverage' should be adjusted accordingly throughout the questionnaire, and the same subsidiary should be used.

In the case that the holding company's revenues stem from several subsidiaries, there is no collective reporting, but ESG data consolidation is suitable, data and references from the most relevant subsidiaries, up to four, can be used to answer the CSA, except for the questions outlined above. For questions where ESG data consolidation is not suitable (qualitative questions), information from a single subsidiary should be used. Throughout the questionnaire, coverage should be adjusted accordingly, and the same subsidiaries should be used throughout the questionnaire.

Non-Listed Companies

The CSA assesses the ESG performance of a large variety of companies including non-listed ones and companies of different sizes. Non-listed companies are often not able to provide public supporting documents.

The CSA allows non-listed companies to provide internal evidence for select questions under the criteria Corporate Governance, Risk & Crisis Management and Tax Strategy. The information for these companies is also supplemented from the internal S&P Global database.

However, the companies are required to report sufficient information on at-least 2 of the following criteria to become eligible for assessment: denominator information (e.g. revenue, employees, room nights, public or private information etc.) for at-least FY/FY-1 and FY-2 which is used as a normalization factor, information on board such as short bio, name and role of all board members, information related to social or environmental indicators. Companies that are unable to meet the minimum information requirement are not assessed in CSA.

03

Scoring Methodology Updates

The CSA uses the Global Industry Classification Standard (GICS) to determine a company's industry classification. The questionnaire is industry specific in that up to half of its questions are tailored to topics that are particularly relevant to specified industries covered by its criteria and questions. Every year question- and criterion-level weights are reviewed for all 62 industries covered. This enables the CSA to keep the focus on industry-specific material issues and capture industry heterogeneity. Topics covered are reviewed each year based on their relevance and materiality within each industry and prioritized according to the expected significance of their associated impact on society and the environment, as well as on corporate value drivers such as growth, profitability, capital efficiency, and risk.

In 2025, S&P Global Sustainable1 revisited its approach to materiality to develop industry-specific level matrices that include both the inward-facing perspective of enterprise value creation and the outward-facing perspective of impacts on society and the environment. This double materiality approach has resulted in 62 industry materiality matrices that are conducted on an ongoing basis and reviewed annually. The 62industry materiality matrices form the foundation of the weights of the CSA criteria. Their review triggers the annual updating of the criteria weights of each industry covered by the CSA.

Question Scoring

The maximum score for each question in the CSA is 100. The various answer options within a question are scored individually or in combination, with the total sum resulting in a maximum of 100 points.

Removing or adding options to a question may impact on the weight of each question component and thus the overall scoring of the question. Therefore, it is important to carefully review each question every year, as elements may have been added or removed. Examples of the major changes to questions will be discussed in the section 'Major Methodology Updates'.

Criterion Scoring

Criteria scores are determined by a weighted sum of questions scores. As previously described, adding or removing questions within a criterion will modify the weight of individual questions, and therefore impact the criterion score. As a result, a criterion score may change even if the answers provided to the individual questions have not changed from one year to the next. This can be due to question deletions, additions, or to a modified scoring scheme at question level.

Weights

As part of our effort to increase transparency towards companies, S&P Global Sustainable1 publicly discloses the criteria weights for all industries on the CSA website. The weightings of both individual questions and criteria are subject to annual review. The review is based on the evolving material relevance of each topic to an industry, as well as related question introductions and deletions. As a result, criteria scores may change due to a modification in the underlying question weights. When introducing new criteria, S&P Global Sustainable1 aims to set low weights for such criteria in the initial years and increase adjust the weights progressively according to the materiality analysis as the industry gets used to report on the new topic This allows companies to adjust to the new concepts and improve their data collection and reporting systems in these areas.

Scoring Variations

Changes in scores can result from a change in the scoring approach, moving from "disclosure" scoring towards "performance" scoring.

- **Disclosure** scoring awards points for qualitative or quantitative information without placing any value judgment on the information. For example, if the CSA asks for the share of female managers, the score could be driven by the company's ability to report the number of women in management, indicating that the company is actively tracking this metric (disclosure).

- **Performance** scoring awards points for the value of the metric. In the previous example related to the share of female managers, the score would be driven by the actual number of female managers, measured against the total number of managers (performance). When introducing new questions that require quantitative metrics, the initial focus is typically on disclosure scoring, awarding points to companies that can disclose the relevant information. As data collection and reporting mature over time, performance scoring may be introduced to capture a trend or measure a company's performance relative to peers. This evolution over time and maturing of topics also reflects the dynamic nature of materiality.

Modelled Scores

As of 2023 an additional overlay has been introduced to integrate modelling into the S&P Global ESG Score. The scoring approach within the CSA allocates a '0' score to all questions where no information is disclosed to S&P Global, or where no information is found in the public domain. The outcome of this disclosure-based score is referred to as the S&P Global Corporate Sustainability Assessment (CSA) Score.

To provide a more complete and holistic assessment of a company's sustainability performance, modelling approaches based on imputation are applied and aggregated into the S&P Global ESG Score to address gaps in disclosure. The purpose of this modelling approach is to emulate the performance-based scoring that could have been applied if reported data were available.

For more information on the integration of modelling into the S&P Global ESG Scores please refer to the "S&P Global ESG Scores Methodology".

Public versus Non-Public Information

In several questions, we ask companies to provide documents to support their responses. Considering the growing demand for accountability and transparency, our methodology increasingly focuses on assessing publicly available information. Questions that require public information, or where more credit is awarded for public availability are clearly marked in the CSA.

There may also be questions where we do not require public information. Companies may instead provide internal documents to support and verify their answers.

Linear Peer Group Scoring versus Company Historical Performance

Whereas linear peer group performance scoring measures a company's performance relative to industry peers, a company's historical performance only considers the company's own absolute or relative progress over time.

Table 2 gives an overview of the different types of scoring used in the CSA. Please note that "transparency" and "performance" refer to the scoring approach used for that specific question. A specific question can include either transparency, performance, or a combination of both elements. Ultimately, one Total Sustainability Score is calculated, consisting of both transparency and performance components.

Table 2
Overview of Scoring Types

Scoring Type	Description	Sample Questions
Transparency	Public Disclosure	• Human Rights Commitment
	Availability of Qualitative or Quantitative information	• Largest Contributions & Expenditures
Performance	Scoring of Qualitative or Quantitative data based on pre-defined thresholds or expectations	• Board Type • Human Rights Assessment
	Trends scoring on a company's own performance over time	• Human Capital Return on Investment
	Linear peer-group scoring	• Lost-Time Industry Frequency Rate • Employee Turnover Rate

Percentile Ranks

In addition to ESG Scores, companies receive a percentile ranking. As the CSA methodology is continuously evolving and question and criterion weightings may change over time, the percentile ranks are a useful tool to track performance against industry peers. It shows the relative performance of the company and indicates the share of companies with lower or equal ESG Scores at the relevant level. ESG Scores and percentile ranks are industry specific. For example, a company with a percentile rank of 95 in a specific criterion indicates that the company scores equal to or higher than 95% of the companies within its industry.

Scores and percentile ranks are provided at the question, criterion, dimension, and total ESG score level. Percentile ranks are calculated based on the CSA results for all companies that (will be) assessed in the relevant Base Year (April to March). As of September 2024, S&P Global ESG Scores are released daily. Therefore, S&P Global Sustainable1 is taking a new approach to the calculation of percentile ranks, using ESG Scores for the selected Base Year and if not yet available the previous Base Year.

To publish the ESG Scores as early as possible and still provide meaningful benchmarking, especially with regards to a company's percentile rank, a company's 2024 ESG Score (if available) is used as the best available estimate for the 2025 ESG Score if it is not yet available. Users need to keep in mind that the CSA methodology is updated annually and ESG Scores from different years are not fully comparable, especially at total or dimension level.

In the CSA portal, company users can identify the share of companies where a 2025 ESG Score is already available, and for which share of companies benchmarking statistics would still rely on 2024 ESG Scores.

04

Major Methodology Updates

Corporate Governance

Corporate governance ensures that a company is managed in the interests of all shareholders. Effective checks and balances enable the Board to exercise appropriate oversight, control, and accountability. Key practices include suitable ownership structures, a high proportion of independent and diverse directors with relevant industry experience, limits on external mandates, appropriate tenure, strong board attendance, and robust governance frameworks for managing ESG risks and opportunities. Well-designed management incentives further align management with shareholders' long-term interests.

Criterion Update

A new question named 'ESG Governance Oversight' was created and seeks to assess how companies oversee ESG and sustainability matters at the board of directors and executive committee levels. With an increased focus on the integration of ESG factors in corporate strategy, this question helps stakeholders to gauge how firms effectively manage risks and opportunities at board and executive management levels.

ESG Governance Oversight

The question 'ESG Governance Oversight' specifically asks whether the company has governance mechanisms in place to oversee ESG/sustainability issues. This includes clear allocation of responsibility at the board or senior management level. The objective is to ensure that ESG considerations are integrated into oversight, risk management, and strategic decision-making.

Findings

The following findings in Figure 1 are based on 10,918 companies that disclosed in CSA 2024 that they have a type of ESG governance mechanism in place.

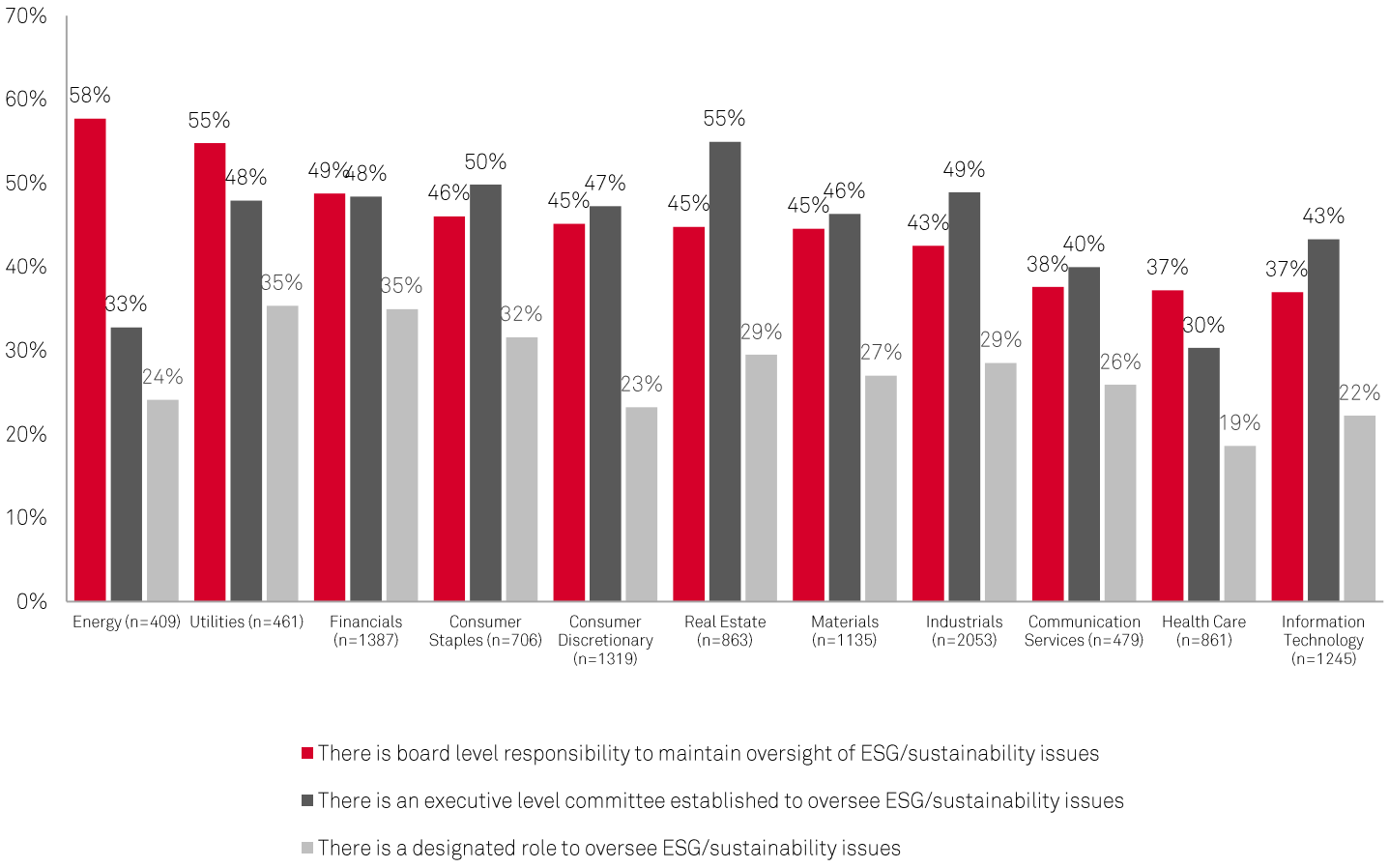
Figure 1 displays the companies across all sectors that disclosed which type of ESG governance mechanism they have in place.

The data in Figure 1 highlights notable sectoral differences in how ESG and sustainability oversight is governed in 2025. The Energy and Utilities sectors demonstrate the strongest board level responsibility, likely reflecting higher regulatory pressure and stakeholder expectations in these sectors. Financials and Consumer Staples show comparatively balanced governance structures, with similar levels of board oversight and executive level committees, suggesting integrated ESG decision-making.

Real Estate has the highest level of executive-level committee oversight. Across most sectors, executive committees are more common than standalone ESG roles, implying that organizations increasingly embed ESG oversight within senior leadership committee structures instead of assigning responsibility to individual positions. However, Health Care and Information Technology lag across all three governance measures, pointing to less formalized ESG oversight frameworks.

Overall, the data suggests a shift toward committee-based ESG governance, with fewer companies relying on designated roles alone and underscores growing recognition of ESG as a strategic, cross-functional issue that touches all parts of a business rather than a narrow compliance or reporting function.

Figure 1
In 2025, 58% of Energy companies assessed have board level responsibility for oversight of ESG/sustainability issues
Percentage of disclosure by sector on types of ESG governance mechanisms in place.



Information Security

Over the past decade, the growing frequency and rising costs of information-security breaches have made information security a top priority for every sector of the economy. The most common threats stem from technical and procedural failures, human errors, malicious attacks, severe weather, natural disasters, and other related factors.

Criterion Update

The newly named Information Security (previously IT Security/Cybersecurity) criterion was updated in 2025 to improve the clarity and relevance of the assessment for companies in all sectors, focusing on broader information security commitments and transparency. The updates enhance alignment with best practices and address key governance, policy, and management elements of information security.

Changes were made to the three questions, 'Information Security Governance' was minimally updated, while the newly named 'Information Security Policy' and 'Information Security Management Program' questions were significantly revised. Given the topic's importance for external stakeholders and to enhance transparency and ensure companies publicly disclose relevant information, all three questions have been updated to public, from either partially public or private previously.

The 'Information Security Governance' question had its board responsibility section simplified, delinking a board member's expertise in information security and its membership in the committee which oversees information security.

The 'Information Security Policy' question was updated from the previously named 'Cybersecurity Measures' question. Transforming it to a public question was to enhance transparency and ensure companies publicly disclose information security key commitments, such as continuous investment in information security systems, data integrity, threat monitoring, and assigning individual responsibilities across the workforce, which are critical for building trust with external stakeholders, including customers, investors, and regulators. The earlier reference to employee performance evaluations tied to cybersecurity was removed to ensure the focus remains on the company's comprehensive security policy and public disclosure, which update aligns with the growing expectations for greater accountability and openness regarding corporate information security practices.

Similarly, the 'Information Security Management Program' question was also updated from the previously named 'IT Security/Cybersecurity Process & Infrastructure' question. The update ensures that critical aspects of a company's information security management, such as incident reporting processes, business continuity plans, vulnerability testing, internal audits, and independent certifications, are publicly accessible. The shift from private to public was made to increase the transparency of the company's preparedness for information security risks and provide stakeholders with confidence that the company is equipped to manage and respond to potential threats.

Information Security Governance

Effective oversight of information security requires both a board that can evaluate cyber-related threats, and a management team equipped to respond to them. Boards are increasingly expected to demonstrate an understanding of the company's exposure to information security risks, and to monitor how these risks are being managed. At the same time, senior leaders responsible for information security—such as CISOs or CIOs—must possess not only technical knowledge but also the strategic and operational capabilities needed to address evolving security challenges. Establishing a dedicated governance body, such as an information security or cybersecurity committee, can strengthen the connection between the board and executive management by ensuring that information security topics receive sustained and structured attention.

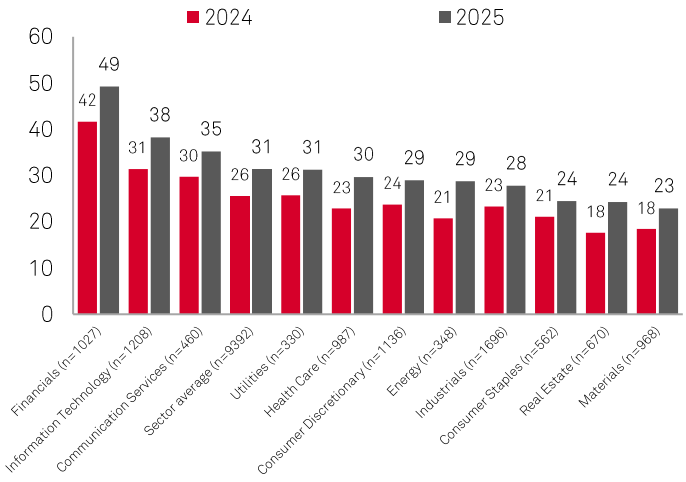
This question therefore assesses whether the company has put in place an appropriate governance framework to oversee information security risks and incidents. With the purpose of enhancing how we capture and reflect best practices, the question was updated in the 2025 CSA cycle. The former question, IT Security/ Cybersecurity Governance, was renamed to Information Security Governance, and evolve from a partially public to a public question. As a result, all relevant information must be available in the public domain to count toward scoring. The layout was also simplified and aligned with other governance questions across the CSA. The board member's expertise in information security was removed from the question, as capturing individual board member names was deemed not essential for the assessment. As a result, interdependency between data points was eliminated, mitigating potential bias, since the committee could only be accepted if the board member and their experience were accepted.

Findings

The following analysis presents an overview of how companies' performance on the information security governance question evolved from 2024 to 2025. In 2024, a total of 12,914 companies of the CSA universe responded to the question, while in 2025, up to February, responses amounted to 9,392 companies.

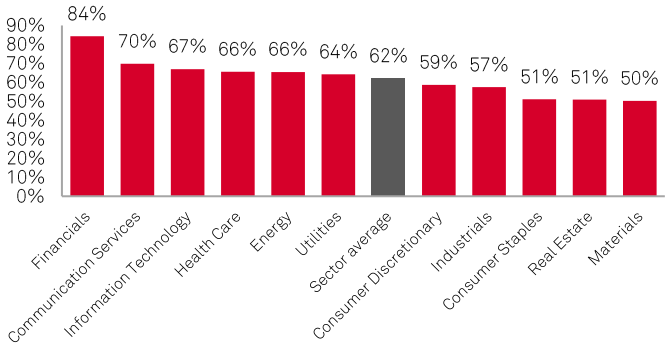
Figure 2 presents a comparison of average information security governance scores by sector, based on the 8,709 companies that reported in both the 2024 and 2025 CSA campaigns. Overall performance on this question improved by 5 points, increasing from 26 in 2024 to 31 in 2025. The increase reflects an improvement in companies' information security governance practices. Moreover, the streamlined question layout removed interdependencies between data points, allowing the board-level committee option to be accepted even when its name and members' experience were not reported. The financial sector outperformed all the other sectors, achieving a score of 49 -11 points higher than the second-highest scoring sector, information technology- indicating a comparatively more robust governance structure for managing cyber-related threats. The gap of ±26 points between the top performing sectors and lowest performers is significant. Real state (24 points) and Materials (23 points) are the sectors that showed the weaker results, suggesting substantial room to strengthen their governance framework to more effectively oversee information security risks and incidents.

Figure 2
Average score in Information Security Governance by sector



Out of the 9,392 companies that responded to this question in 2025, 62% reported having governance mechanisms in place to oversee their information security activities. Figure 3 shows the sector-level share of companies with board or management teams equipped to evaluate and respond to cyber-related threats. The financial sector records the highest share, with 84% of companies reporting positively, followed—at a considerable distance—by communication services and information technology sectors, at 70 and 67% respectively. At the lower end consumer staples, real estate and materials sectors show 50-51% of companies with an information security governance mechanism in place, representing a substantial gap of 34 percentage points compared to financials.

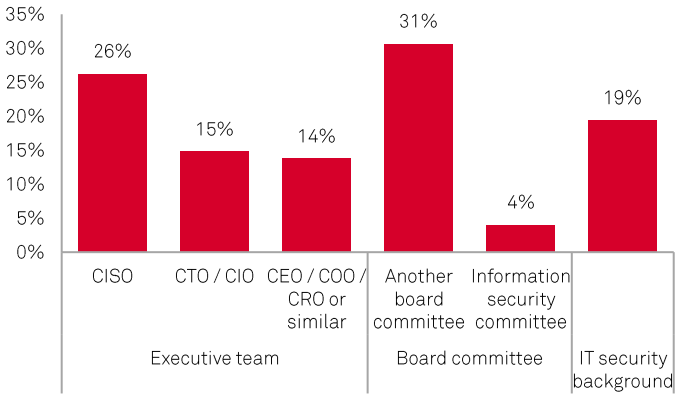
Figure 3
Sector-level distribution of companies reporting information security governance mechanisms



The findings in figure 4, based on the feedback provided by 9,392 companies in 2025, illustrate the governance structure in place for managing information security risks and incidents. Notably, 55% of companies assign executive-level responsibility for overseeing information security issues. The most common role is the Chief Information Security Officer (CISO), designated by 26% of the companies. In a smaller proportion of cases,15%, oversight is held by Chief Technology Officer (CTO) or Chief Information Officer (CIO), followed closely by other senior executives such as the Chief Executive Officer (CEO), Chief Operating Officer (COO) or Chief Risk Officer (CRO).

At the board level, 35% of the companies assign information security oversight to a committee, which helps to elevate and prioritize information security issues. Most rely on a non-dedicated committee, whereas only 4% have a specialized information security committee. Additionally, a moderate 19% of the companies' report having at least one board member with relevant experience in dealing with information security-related issues.

Figure 4
Distribution of Governance levels overseeing information security activities



Information Security Policy

The purpose of this question is to assess a company's commitment to managing information security risks through transparent public reporting. As the reliance on digital information grows, safeguarding data and ensuring the resilience of information systems have become critical factors in both corporate sustainability and risk management. Effective information security policies are essential to protect against cyber threats, data breaches, and system vulnerabilities, which can impact not only a company's operations but also its reputation and long-term value generation.

In 2025, this question was updated from a private to a public question, focusing on whether the company discloses its information security policy and where this can be accessed. Key elements of the policy, such as continuous investment in information security systems, data integrity, monitoring and responsiveness to information security threats, and establishing security responsibilities across the workforce are highlighted, Previous options related to employee performance evaluation and disciplinary actions tied to cybersecurity have been removed, while a new option addressing information security requirements for third-party suppliers introduced.

This question was updated in 2025 and applies to all listed companies of all industries.

Findings

The following analysis provides an overview of companies' performance in the 'Information Security Policy' question in 2025. The question was responded to by 12,914 companies of the CSA universe in 2024 and 9,396 companies in 2025 (as of February 2026).

Figure 5 displays the average score for the policy question by sector, based on the 8,709 companies that reported in both the 2024 and 2025 CSA campaigns. As can be seen, the changes introduced in 2025 resulted in a distinct drop in scores for all sectors, with the average score reducing from 50 in 2024 to 23 in 2025. The communication services sector had the largest score change of 37 points, while materials faced the lowest reduction, of 20 points. Utilities kept its position of highest scoring industry in both years.

Figure 5
Average score for Information Security by sector

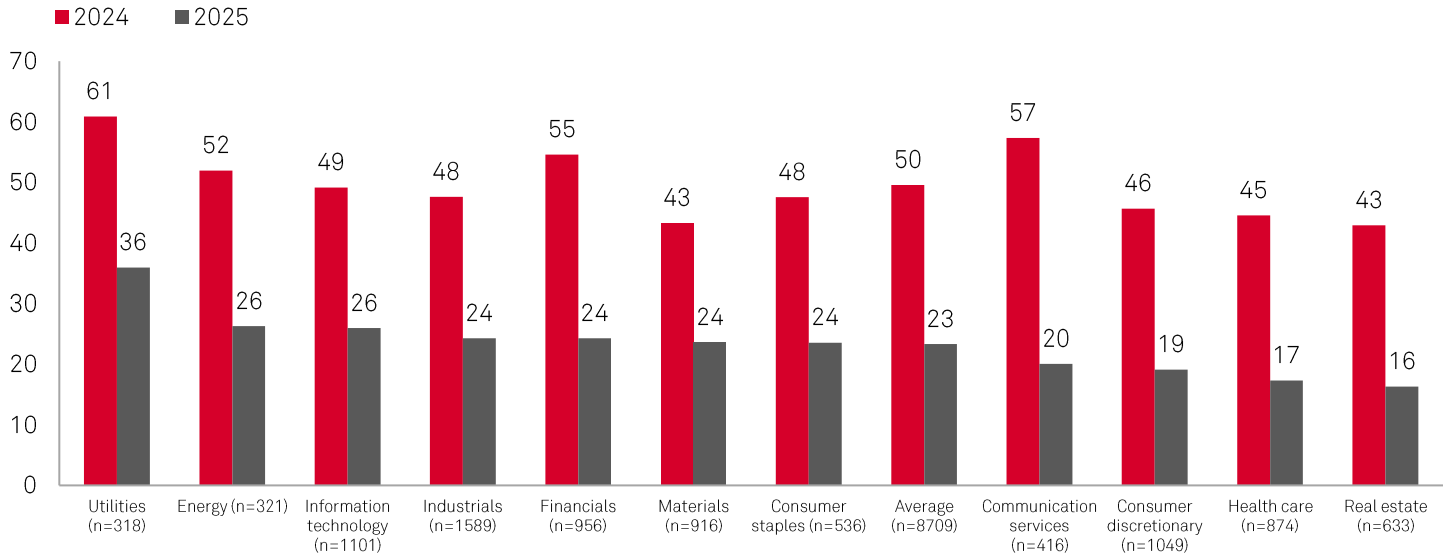
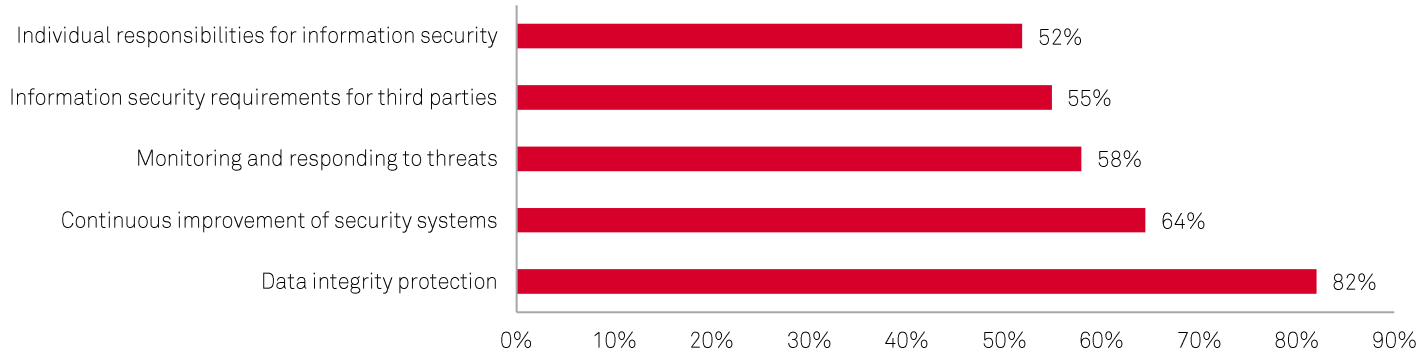


Figure 6 shows the share of companies with specific policy topics. Out of the 1,987 companies in 2025 with an information security policy, the most common topic was data integrity protection, with 82% of companies reporting on this.

The other four topics were found in half to just under two thirds of participating companies, individual responsibilities being the lowest found in only 52% of companies' policies.

Figure 6
Share of companies with specific policy topics



Information Security Management Program

Given the importance of technical and procedural capabilities in safeguarding systems and critical information, as well as responding to information security threats, companies across all sectors are encouraged to establish robust management programs to test and protect their information systems. This question examines whether companies are prepared to prevent and respond to significant information security, as well as the public availability of information regarding these practices.

In 2025 this question was updated from a private to a public question and streamlined the most material topics into programs that companies may have in place, and assesses whether companies have experienced any material information security incidents in the most recent financial year.

This question was updated in 2025 and applies to all listed companies of all industries.

Findings

The following analysis provides an overview of companies' performance in the 'Information Security Policy' question in 2025. The question was responded to by 12,914 companies of the CSA universe in 2024 and 9,396 companies in 2025 (as of February 2026).

Figure 7 shows the average score for the question by sector, based on the 8,709 companies that reported in both the 2024 and 2025 CSA campaigns. There was an overall increase in average scores between the years, with an average improvement of 16 points, from 28 to 44. Financials had the highest average score for both years, at 41 and 64, respectively, while materials had the lowest, at 23 and 36. Industrials improved noticeably, from joint lowest score in 2024 at 23, to middle range at 42. The highest improvement in scores from 2024 to 2025 was information technology, with an increase of 21 points, from 28 to 49.

As can be seen, the values increased, as did the range between the sectors. While the highest performers to lowest performers were at an 18-point difference in 2024, those were at a 28 difference in 2025.

Figure 7
Average score for Information Security Management by sector

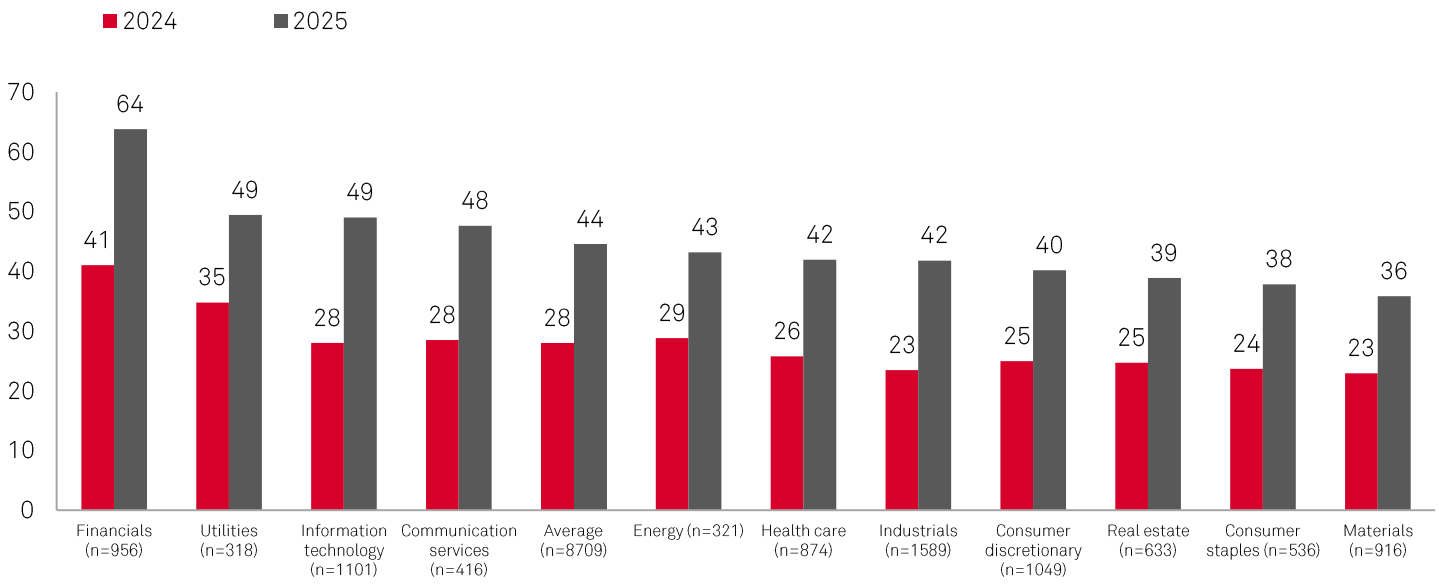
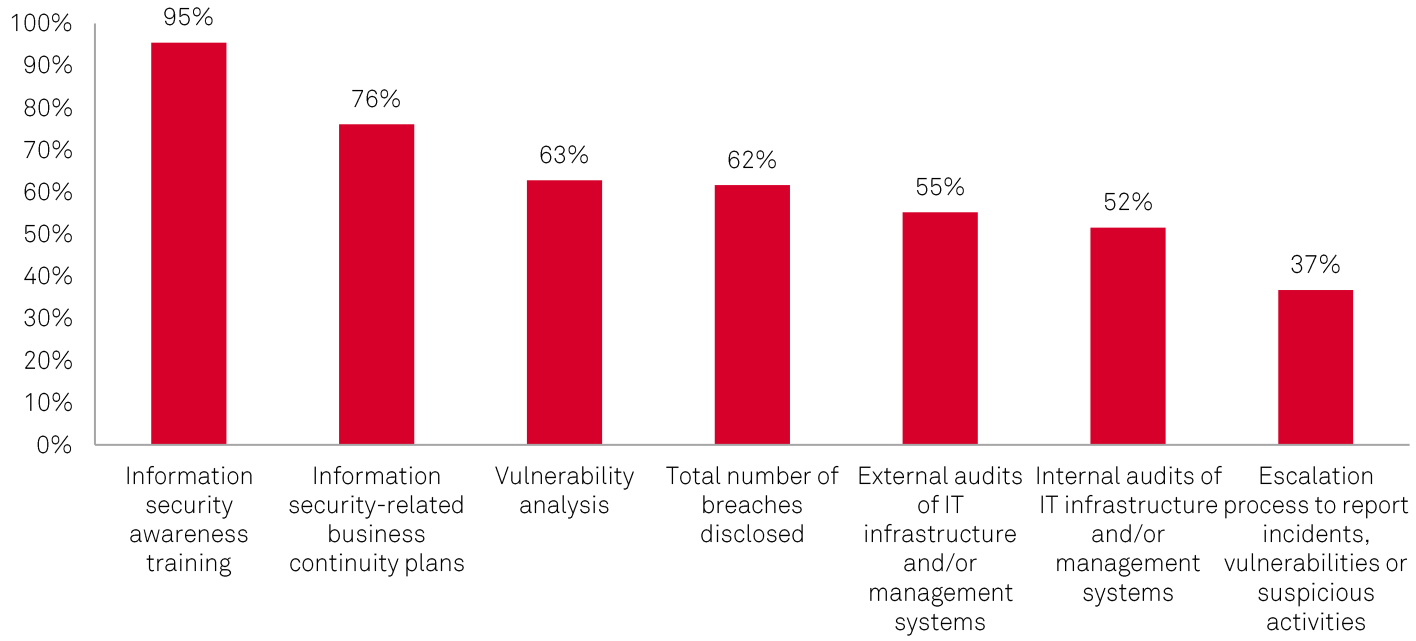


Figure 8 shows the percentage of companies implementing management programs for Information Security. Out of the 2,900 companies that report having management programs in place, the overwhelming majority include information security awareness training for its employees. Business continuity plans were also found in most companies' programs.

The program found in the fewest companies' initiatives was an escalation process to report incidents, vulnerabilities, or suspicious activities to the legal and compliance department, IT department, or similar internal stakeholders.

Figure 8
Percentage of companies implementing Information Security Management Programs



Product Quality & Recall Management

Quality management is a challenge for any company, as it requires addressing a wide range of environmental, social and governance risks and opportunities. Strong quality management systems help ensure product safety and quality, protecting consumers and preventing harm — a critical aspect in sectors like healthcare, food and manufacturing, where defects or failures can have serious consequences. Effective systems also support efforts to reduce a company's environmental footprint by minimizing waste, lowering energy use and improving resource efficiency.

From a business standpoint, a robust quality management approach can enhance operational efficiency, reduce costs, and help companies deliver products and services that meet or exceed customer expectations. Conversely, weak or poorly implemented systems can lead to defects, recalls and customer complaints, damaging reputation and causing financial losses. Companies that fail to prioritise quality management may also face legal and regulatory risks if they do not comply with industry standards and requirements.

Criterion Update

Historically, the CSA did not include a program specific question addressing product quality. The Product & Recall Management criterion primarily focused on product recalls, data collection and measurement for healthcare, food and manufacturing industries. To address this gap, the 'Product Quality Programs' question was introduced in 2025 to evaluate whether companies have established programs to effectively manage quality related risks and opportunities. The question aligns with prevailing standards and frameworks, covering initiatives to identify and resolve potential quality issues, as well as training provided to internal stakeholders on their responsibilities within the quality management system. This addition strengthens the accountability aspect of the assessment, requiring evidence of a company's ability to meet customer expectations and protect its reputation—moving beyond high-level policy commitments.

The 'Product Recalls' question was also updated to improve clarity and comparability. Instead of reporting the number of product lines recalled—an approach that could be distorted when a single defective raw material affects multiple lines—companies must now disclose the number of recalls issued. Information on financial impacts from recalls is no longer required; it has been replaced with disclosure of the quantity of products recalled, simplifying the metric and aligning it with reporting standards. The question remains partially public, with additional points granted for publicly reporting on either of the required metrics.

Product Quality Programs

Companies with robust quality management practices demonstrate a stronger foundation for long-term sustainable growth and business resilience. Developing and deploying sound quality management system programs are important for companies to ensure product quality, minimize risks, enhance operational efficiency and meet stakeholder expectations.

The purpose of this question is to evaluate whether companies have programs in place to effectively manage their quality-related risks and opportunities and provide insights into a company's ability to meet customer expectations and its overall reputation. We are looking for whether the company has initiatives to proactively identify and address potential issues before they occur and rectify any product deviations prior to customer delivery, assess the alignment of the quality management system with expected standards, develop the skills and knowledge of internal stakeholders to achieve quality objectives and engage with stakeholders to improve overall quality.

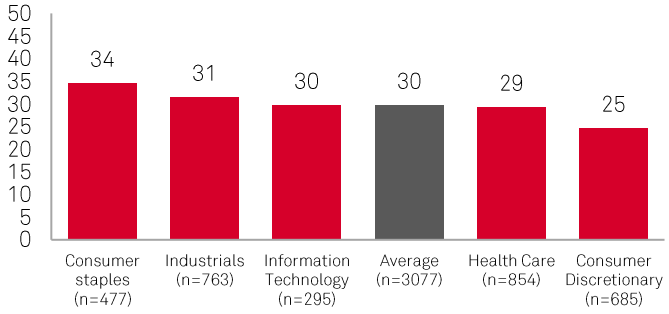
The new question applies to 18 out of 62 industries in the CSA

Findings

The following findings in figures 9, 10 and 11 are based on the feedback provided by 3,066 companies of the CSA universe responded to the question.

Figure 9 represents the average scores for product quality programs across sectors. The overall average score of 30 indicates that companies demonstrate a generally low to moderate level of performance relative to product quality practices. The consumer staples sector leads with an average of 34, indicating comparatively stronger quality programs, followed by industrial sector at 31. At the other end, healthcare and consumer discretionary lag behind, with average scores of 29 and 25 respectively. Despite these differences, the overall performance gap remains relatively narrow, as all sectors fall within a range of approximately ±9 points.

Figure 9
Average score in product quality program industry sector wise



The introduction of this new question enables a more detailed assessment of the maturity of quality related programs across sectors. As shown in Figure 10, 61% of the 3,066 responding companies report having at least one program that meets the CSA requirements. Adoption rates, however, vary significantly by sector. Industrial and information technology companies demonstrate the highest levels of implementation, with 73% and 67% of companies respectively reporting qualifying programs, suggesting stronger integration of structured quality practices. Healthcare, at 55%, and consumer discretionary, at 49%, show comparatively lower levels of adoption. Despite these differences, the overall results indicate that a majority of companies have taken initial steps toward aligning with the minimum expected standard for quality management programs.

Figure 10
Sector-level distribution of companies reporting quality management measures

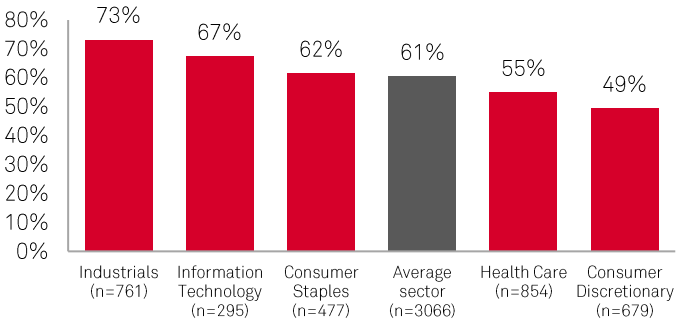
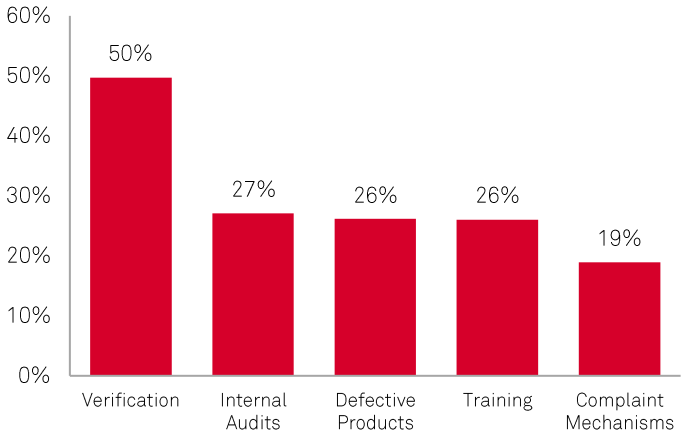


Figure 11 provides a detailed breakdown of the companies reporting specific components of their Product Quality Programs. Half of the companies engage third-party organizations to verify whether their quality management systems align with internationally recognized standards. Internal audits are reported by 27% of companies, indicating that just over a quarter conduct their own assessments to evaluate system effectiveness and identify improvement opportunities. Similarly, 26% of companies have processes in place either to prevent or address defective products before they reach customers, helping to reduce the likelihood of recalls, and an equivalent proportion, 26%, provides training to strengthen employees' skills, understanding and awareness of their role within the quality management system. By comparison, fewer than one in five companies (19%) offer formal complaint mechanisms for external stakeholders to report concerns about non-conforming products and seek resolution.

Figure 11
Percentage of companies with Product Quality Programs featuring specific aspects



Product Stewardship

Moving toward a sustainable economy requires that job creation and income growth be powered by both public and private investment in economic activities, infrastructure and assets that support a high quality of life, lower carbon emissions and pollution, improve resource efficiency, and safeguard biodiversity and ecosystem services. Reforming the economy is a demanding task that calls for decisive leadership and firm commitment, but it also opens the door for firms to create sustainable products and services that meet rising consumer expectations.

Stakeholders are increasingly worried about product impacts across their entire life cycle. Embedding sustainable practices into processes, existing products, and new product development signals an awareness of sustainability issues and shows a company's capacity to seize market opportunities in a green economy while reducing product level market risk.

Product stewardship adds value by reducing the likelihood of harm to people and the environment, thereby lowering potential liabilities. This criterion emphasizes Life Cycle Assessment (LCA), product design, upkeep, take back programs (including e waste), reuse in manufacturing, customer communication, and actions that encourage product stewardship among stakeholders.

The metric also evaluates a firm's resource efficiency and circularity throughout its operations, since delivering more output with fewer materials is vital for sectors facing growing resource scarcity. Improved efficiency and circular practices can boost competitiveness by lowering costs and environmental liabilities, and they also position companies to meet forthcoming environmental regulations. Finally, this criterion measures the sustainable revenue streams of companies and industries across all of their business activities.

Criterion Update

Two new questions were added to the Product Stewardship criterion on how companies manage e-waste. One question focuses on programs and the other one on KPIs related to e-waste. Because the focus is only on e-waste, the questions are limited to seven specific industries (see the industry breakdown data below). The other change in the Product Stewardship criterion was an update to the question 'Resource Efficiency Benefits of Products', which changed its name to 'Sustainable Revenues' and an update to the methodology.

End of Life Cycle E-Waste

This question was newly added and focuses on the programs to manage e-waste. Therefore, it is applicable only to a small number of industries in which electronics are part of their business models. The question measures the type of aspects the company include in its program such as tracking Waste from Electrical and Electronic Equipment (WEEE), takeback programs and education on WEEE.

The industries are Communications Equipment; Household Durables; Electronic Equipment, Instruments & Components; Leisure Equipment & Products and Consumer Electronics; Semiconductors & Semiconductor Equipment; Computers & Peripherals and Office Electronics; Telecommunication Services.

Findings

The following findings in Figures 12-13 are based on 982 companies in CSA 2024 for which the End of Life Cycle E-Waste question was applicable.

Across seven industries, the average score for the end of life cycle e waste question is generally low, indicating limited disclosed adoption of robust takeback, recycling, targets, standards, and awareness programs in public reporting.

Figure 12 shows the average scores across the applicable industries. Telecommunication Services leads with the highest average score of 21, followed by Computers & Peripherals and Office Electronics at 16 and Household Durables at 14, suggesting comparatively stronger attention to responsible WEEE collection and management. A sharp drop appears in Leisure Equipment & Products/Consumer Electronics and Communications Equipment, both averaging 5. The lowest averages are in Electronic Equipment, Instruments & Components) and Semiconductors & Semiconductor Equipment, each scoring 2.

Overall, the pattern shows that sectors closer to consumer-facing service relationships (notably telecom services) appear to disclose more on e-waste management, while upstream component and semiconductor sectors report far less, potentially leaving greater unaddressed environmental, social, and regulatory risk.

Figure 12: The average performance by any industry is low.
Average score for End-of-Life Cycle E-Waste by industry

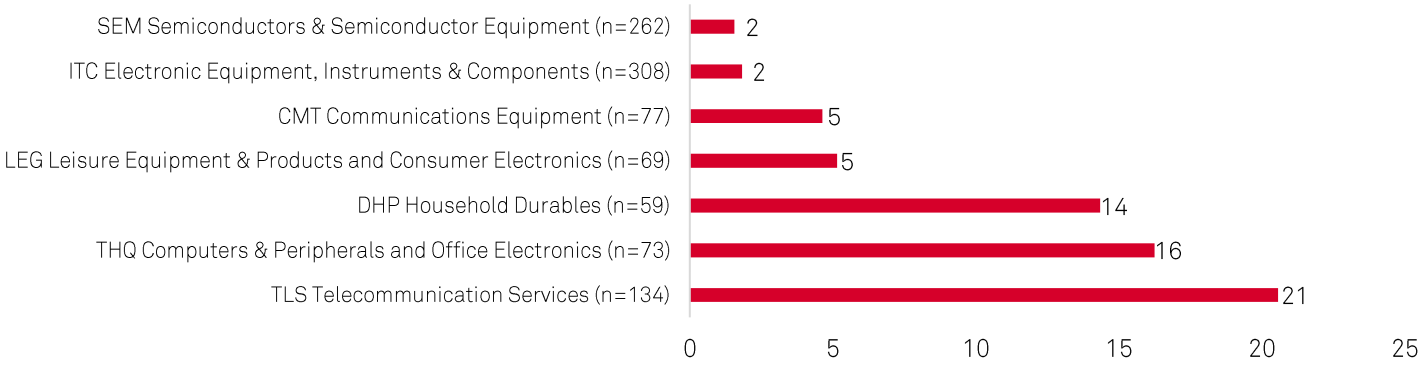
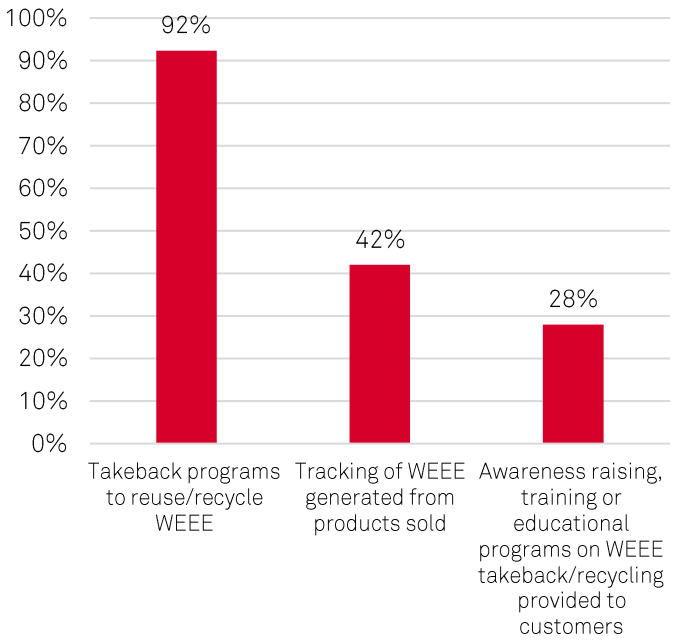


Figure 13 shows the aspects included for the 12% of companies that report having a program in place to manage its end-of-life product waste from electrical and electronic equipment. Almost nine in ten companies claim to have a system that lets customers return end of life electronic products for proper reuse or recycling. Yet only about four in ten actually measure the amount of WEEE generated by the items they sell. Moreover, just over a quarter of respondents run programs that educate or train customers on how to return or recycle their devices. Companies recognize the reputational and regulatory benefits of offering a return channel. However, low uptake in awareness raising, training or educational programs indicates a missed opportunity to boost collection rates.

Figure 13
Almost all companies having end-of-life cycle e-waste programs, include takebacks to reuse/recycle
Aspects included by companies having programs for managing their end-of-life e-waste.



End of Life Cycle E-Waste Indicators

The other question that measures companies' effort to manage e-waste asks for KPIs related to takeback programs, recyclability and disposal. This is to understand the proportions of the total waste that does not end up in landfill. The question is applicable to the same industries as the program question above.

Findings

The following findings in Figures 14-15 are based on 982 companies in CSA 2024 for which the End-of-Life Cycle E-Waste Indicator question was applicable.

This indicator is designed to assess how effective a company's product takeback programs are at managing e waste at end of life. In practical terms, it pushes companies to quantify and explain total WEEE collected through takeback programs and what happens to the collected material.

Figure 14 shows average sector scores for the 'End of Life E-waste Indicators' question by industry. Scores are uniformly low, with the best performing sector—THQ Computers & Peripherals/Office Electronics averaging only 29, followed closely by TLS Telecommunication Services at 27. All other sectors fall well below 15. The stark divide—only two sectors reaching the high 20s while the rest cluster near zero—suggests that robust, certified e waste takeback and recycling are not yet standard across most technology categories, highlighting significant room for improvement in environmental risk management, resource efficiency, and readiness for stricter circular economy regulations. It also shows a similar trend to the program question: further upstream industries disclose less on the topic.

The data also includes companies that do not disclose data on e-waste. For those 95 companies that do disclose data, the performance is significantly different

.

Figure 14
The industries THQ and TLS have the best relative performance by far
Average score for End-of-Life Cycle E-waste Indicators by industry

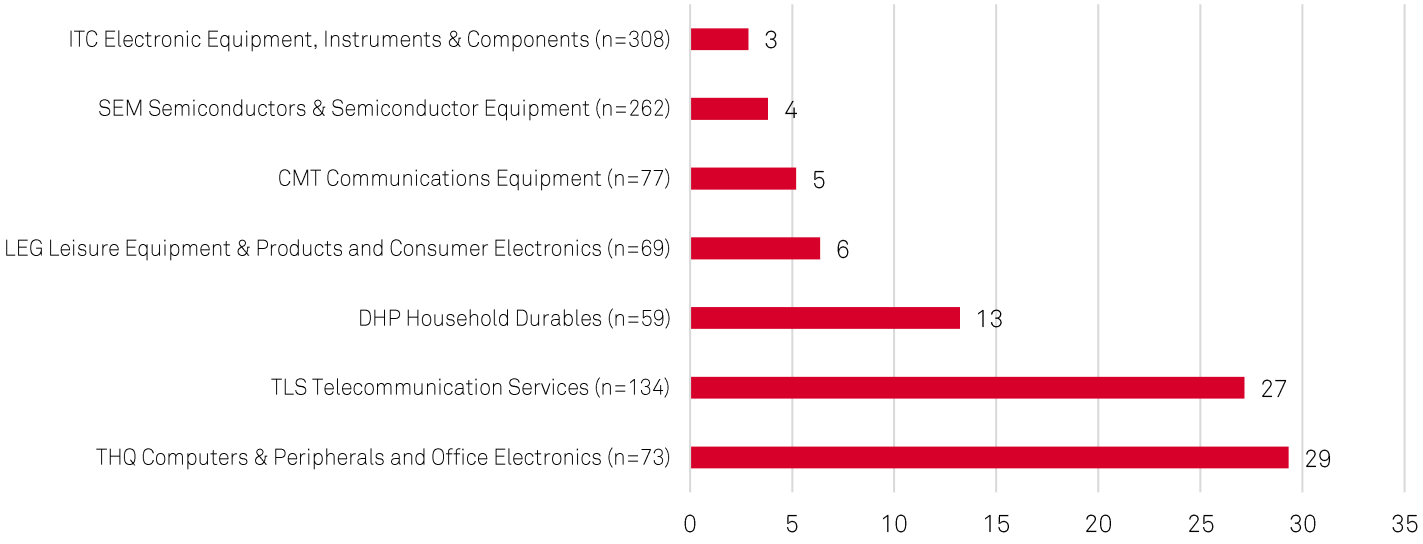
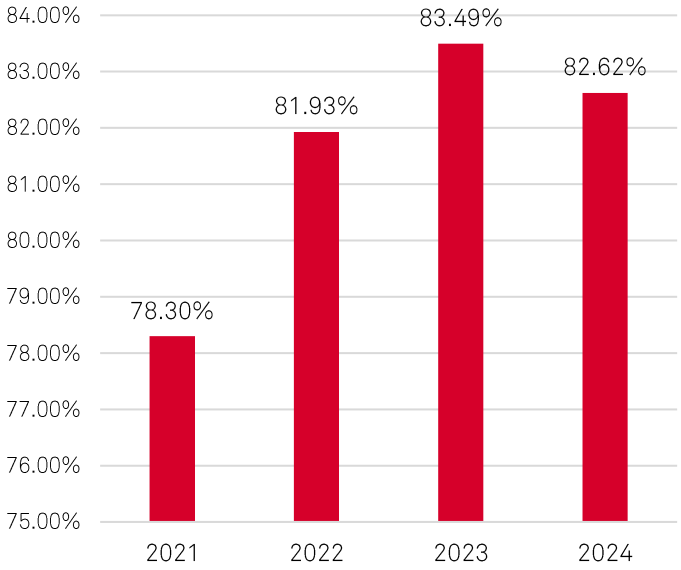


Figure 15 shows the percentage of WEEE collected through the company's takeback programs that is ultimately reused/resold and/or recycled each year from 2021–2024. This is a direct indicator of how effectively the takeback program supports end-of-life e-waste recovery and circularity, rather than diversion to disposal/landfill.

The recovery performance improved from 78% to 83% over the period (+5 points total), with the most meaningful step-change occurring between 2021 and 2022, and stabilization in 2024. This indicates that the majority of take-back e-waste is being kept in the circular loop. The data suggests that the leading companies in takeback programs are paving the way and demonstrating that it is possible to reuse or recycle the majority of e-waste.

Figure 15
Companies reporting data on e-waste take programs show a high average in percentage
Percentage of takeback WEEE reused / resold / recycled



Sustainable Revenues

With the new name 'Sustainable Revenues', the question still asks for the percentage of revenue, but the scope of the requirements was widened to include sustainable in a broader sense. At the same time, the requirements for what constitutes sustainable were made more concrete than before. Instead of companies' own definitions of what constitutes benefits in the use phase, this question now aligns with the various taxonomies published in recent years that define what constitutes sustainable revenues.

Findings

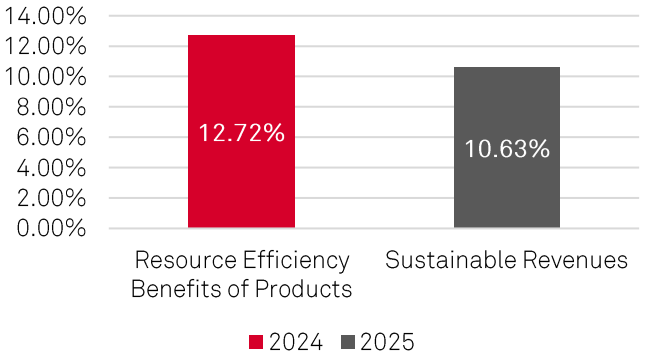
The following findings in Figures 16-17 are based on 4698 companies in CSA 2024 for which the Sustainable Revenues question was applicable.

Because the metric only counts revenue from products or services that meet strict "substantial contribution" criteria—aligned with the EU Taxonomy and comparable green tier taxonomies, the share of what is considered truly sustainable has changed. Therefore, the average performance of this question has been impacted by the changes.

Figure 16 shows the average performance in 2024 when the question was named 'Resource Efficiency Benefits of Products' and the average performance in 2025 with the new name 'Sustainable Revenues'. The low performance indicates that many companies have a low share of sustainable products and/or services, and some may also struggle to map their portfolios into a taxonomy.

Although the average performance has changed only slightly from 2024 to 2025, the reasons differ. In 2024, more companies were unable to disclose any data, and the average was carried by a number of companies receiving full points in the question. In 2025, the number of companies scoring full points decreased significantly. And even if the performance remains low, the distribution has become more balanced.

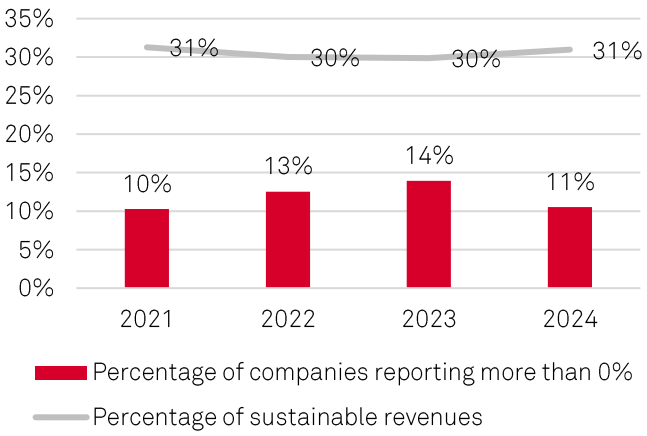
Figure 16
The average performance declined from 2024 to 2025 due to the update to the methodology
Average score for Sustainable Revenues by year



The question design allows companies to report in the last four fiscal years. Across the four-year period in Figure 17, the data tells a consistent story: among the relatively small subset of companies that report any sustainable revenue at all, sustainable activities make up about one-third of their revenue—but only a minority of companies report more than 0% sustainable revenue in the first place.

Sustainable revenue is concentrated in a relatively small group of firms, yet for those companies it represents a material share of earnings, indicating that they are further along in reorienting their product and service portfolios toward activities that meet established sustainable taxonomies. Only about 20 % of European companies report any sustainable revenue at all, but this share is the highest among all regions. This is unsurprising given the EU's stringent regulatory framework, which incentivizes firms to disclose and develop sustainable revenue streams.

Figure 17
Companies reporting their sustainable revenues have a relative share considered to be sustainable
Percentage of companies reporting more than 0% share of sustainable revenues and the average share reported.



Labor Practices

Employees represent one of a company's most important assets. Maintaining good relations with employees is essential for the success of businesses' operations, particularly in industries characterized by organized labor. Beyond providing a safe and healthy working environment, companies should support fair treatment practices such as guaranteeing diversity and inclusion, ensuring non-discrimination, equal and fair remuneration, decent working time, social protection, supporting freedom of association, and promoting work-life balance. In accordance with international standards on labor and human rights, companies are expected to adhere to and apply these standards equally across all divisions within the organization. Growing customer awareness leads to higher expectations from companies in their role as global corporate citizens and their ability to drive sustainable business practices forward.

Criterion Update

This criterion was significantly updated for the 2025 CSA cycle with the addition of two questions: 'Labor Practices Commitment' and 'Labor Practices Programs'. The first assesses whether companies publicly disclose policies that uphold key labor rights issues and applies to all industries. The second evaluates the programs and measures that support those commitments, which must also be publicly available. While core labor rights such as freedom of association, collective bargaining, forced labor, child labor, and non discrimination remain covered under the Human Rights section, the new Labor Practices questions expand the focus to more operational topics, including wages, working hours, and social protection.

Linked with the addition of these two new questions, the details related to 'Living Wage Commitment' and 'Living Wage Methodology' are no longer inquired.

Labor Practices Commitment

The purpose of this question is to evaluate a company's commitment to upholding fundamental labor rights and ensuring fair treatment across its workforce and supply chain. By assessing whether companies have public policies or commitments in place, this question ensures transparency and accountability in areas such as living wages, working hours, equal pay, and worker protection. Strong labor commitments are essential for promoting fair working conditions, reducing risks related to workforce dissatisfaction, and enhancing a company's social license to operate. A clear public commitment to labor rights indicates that a company is proactive in addressing labor issues and aligns its practices with international standards, contributing to a more sustainable and equitable workforce.

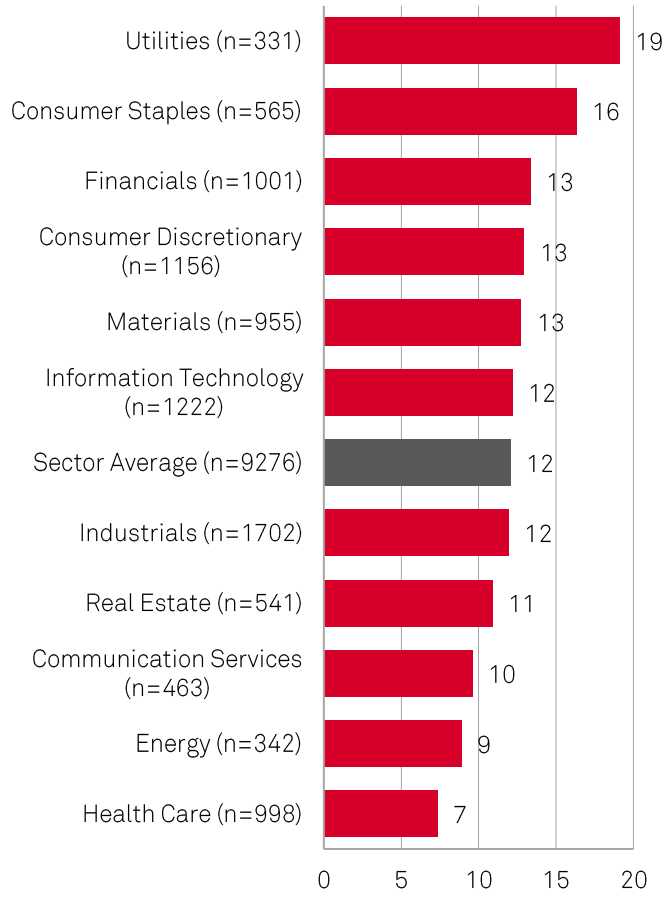
The question is applicable to all 62 industries.

Findings

The following analysis provides an overview of companies' performance in the 'Labor Practices Commitment' question in 2025. The question collected information from 9276 companies in the CSA universe.

The Figure 18 below shows the average score for this question per sector against the global average. Although all sectors demonstrate some commitment to upholding employees' fundamental labor rights, companies' performance in 2025 shows room for improvement, with an average score of 12 out of 100. Utilities lead at 19, followed by Consumer Staples at 16, while most sectors cluster between 10 and 13. Energy and Health Care lag furthest behind at 9 and 7. These variations likely reflect differences in labor related risks across sectors, but overall performance signals limited reporting and commitment to labor rights.

Figure 18
Average score for Labor Practices Commitment per sector



Across companies that publicly disclose labor practice commitments, four areas appear most frequently: limiting overtime or excessive working hours, ensuring equal pay for men and women, defining maximum working hours, and paying a living wage, each reported by 43% to 47% of companies. These indicate a baseline recognition of workers' rights and expectations for companies' accountability. However, significant gaps remain. Only 26% of companies commit to paying workers for annual leave, and 11% commit to minimum consultation before mass terminations.

This uneven adoption suggests that while companies acknowledge core labor principles, many have not embedded comprehensive protections that reflect a well-rounded commitment to fair labor practices, see the Figure 19.

Figure 19
Percentage of companies disclosing Labor Practices commitments



Labor Practices Programs

The purpose of this question is to assess how a company ensures effective management of its labor practices through robust and dedicated labor programs. Transparency and the proper management of labor practices can have a direct impact on a company's workforce and ultimately influence the company's reputation when labor practices are unfair or do not follow local and national laws or standards as well as international norms. Labor-related programs seek to cover a set of actions that companies should follow to promote productive employment and decent work. The application of labor programs provides companies with tools to assess and improve performance in aspects such as achieving equal remuneration and social protection.

The question is applicable to all 62 industries.

Findings

The following analysis provides an overview of companies' performance in the 'Labor Practices Programs' question in 2025. The question collected information from 9358 companies in the CSA universe.

The data in Figure 20 shows how often companies disclose elements of their labor practice programs, with 31% companies in the CSA reporting them. The most reported component is expanding social protection beyond public programs at 47%, indicating companies' priorities in providing employees with medical care, sickness, maternity, injury benefits, etc. Other notable programs include monitoring the pay gap (40%), engaging with workers' representatives (37%), monitoring working hours (31%), and paying adequate wages (28%). Companies also address, at lower levels, paying employees for overtime work (23%) and paying employees' annual leave (20%). The lowest percentage, 15%, is providing training or reskilling due to industrial or climate change. This aligns with the earlier finding on limited consultation before mass terminations, highlighting a gap in how companies equip employees to navigate major adverse industrial changes.

Figure 20
Percentage of companies disclosing Labor Program aspects

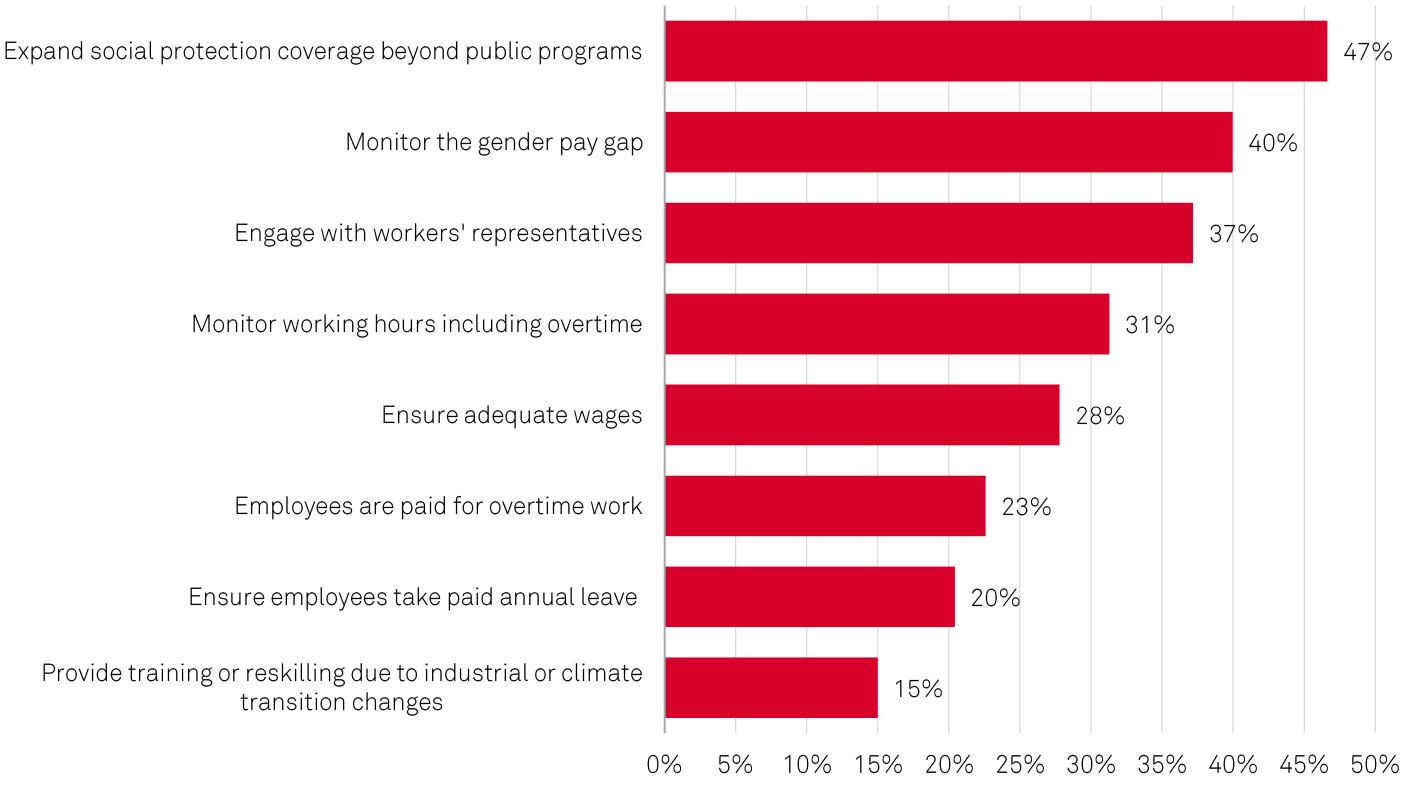
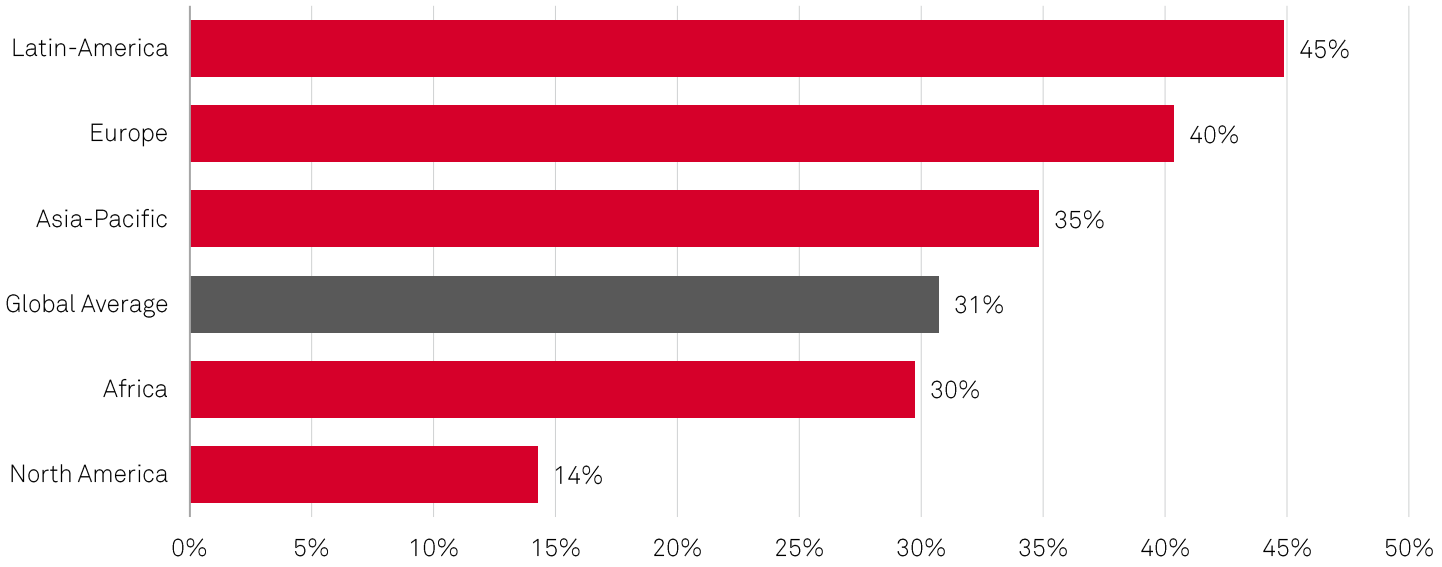


Figure 21 shows, Latin American and European companies lead in Labor Practices Programs, with disclosure of 45% and 40% respectively, followed by Asia-Pacific at 35%. Companies in Africa disclose at a rate like the global average, around 30%-31%. North American companies lag behind only 14% report measures to ensure effective labor force management and uphold workers labor rights.

The regional differences can be attributed to varied labor laws across region and companies' performance.

Figure 21
Labor Practices Programs publicly disclosed by companies per region



S&P Global

Sustainable1

S&P Global Sustainable1 Disclaimer

This content (including any information, data, analyses, opinions, ratings, scores, and other statements) ("Content") has been prepared solely for information purposes and is owned by or licensed to S&P Global and/or its affiliates (collectively, "S&P Global").

This Content may not be modified, reverse engineered, reproduced or distributed in any form by any means without the prior written permission of S&P Global. You acquire absolutely no rights or licenses in or to this Content and any related text, graphics, photographs, trademarks, logos, sounds, music, audio, video, artwork, computer code, information, data and material therein, other than the limited right to utilize this Content for your own personal, internal, non-commercial purposes or as further provided herein.

Any unauthorized use, facilitation or encouragement of a third party's unauthorized use (including without limitation copy, distribution, transmission, modification, use as part of generative artificial intelligence or for training any artificial intelligence models) of this Content or any related information is not permitted without S&P Global's prior consent and shall be deemed an infringement, violation, breach or contravention of the rights of S&P Global or any applicable third-party (including any copyright, trademark, patent, rights of privacy or publicity or any other proprietary rights).

This Content and related materials are developed solely for informational purposes based upon information generally available to the public and from sources believed to be reliable. S&P Global gives no representations or warranties regarding the use of this Content and/or its fitness for a particular purpose including but not limited to any regulatory reporting purposes and references to a particular investment or security, a score, rating or any observation concerning an investment or security that is part of this Content is not a recommendation to buy, sell or hold such investment or security, does not address the suitability of an investment or security and should not be relied on as investment or regulation related advice.

The Content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. S&P does not act as a fiduciary or an investment advisor except where registered as such. While S&P has obtained information from sources it believes to be reliable, S&P does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives.

S&P Global shall have no liability, duty or obligation for or in connection with this Content, any other related information (including for any errors, inaccuracies, omissions or delays in the data) and/or any actions taken in reliance thereon. In no event shall S&P Global be liable for any special, incidental, or consequential damages, arising out of the use of this Content and/or any related information.

The S&P and S&P Global logos are trademarks of S&P Global registered in many jurisdictions worldwide. You shall not use any of S&P Global's trademarks, trade names or service marks in any manner, and in no event in a manner accessible by or available to any third party. You acknowledge that you have no ownership or license rights in or to any of these names or marks.

Adherence to S&P's Internal Polices
S&P Global adopts policies and procedures to maintain the confidentiality of non-public information received in connection with its analytical processes. As a result, S&P Global employees are required to process non-public information in accordance with the technical and organizational measures referenced in the internal S&P Global Information Security and Acceptable Use policies and related guidelines.

Conflicts of Interest
S&P Global is committed to providing transparency to the market through high-quality independent opinions. Safeguarding the quality, independence and integrity of Content is embedded in its culture and at the core of everything S&P Global does. Accordingly, S&P Global has developed measures to identify, eliminate and/or minimize potential conflicts of interest for Sustainable1 as an organization and for individual employees. Such measures include, without limitation, establishing a clear separation between the activities and interactions of its analytical teams and non-analytical teams; email surveillance by compliance teams; and policy role designations. In addition, S&P Global employees are subject to mandatory annual training and attestations and must adhere to the Sustainable1 Independence and Objectivity Policy, the Sustainable1 Code of Conduct, the S&P Global Code of Business Ethics and any other related policies.

This piece was published by S&P Global Sustainable1 and not by S&P Global Ratings, which is a separately managed division of S&P Global.

See additional Disclaimers at https://www.spglobal.com/en/terms-of-use

Copyright© 2026 S&P Global Inc. All rights reserved.